SUPPLY CHAIN ANALYTICS INSIGHTS REPORT

Insight 1: Skincare Dominates Revenue but Demands Inventory Prioritization

We're seeing that Skincare isn't just a cash cow-it's the engine of the entire business, pulling in over ₹242K from more than 20,000 units. That's nearly 42% of total revenue, handily beating Haircare and Cosmetics. But here's the catch: with that much movement, stockouts would hurt badly.

Recommendation: Give Skincare at least 45% of our warehouse real estate-not just as a rule, but as a reflex. And let's get smart about reordering: set up automatic triggers so that when bestsellers dip below a certain level, the system nudges procurement before we even realize we're running low. No more firefighting.

Insight 2: Supplier 4 Has a Critical Quality Control Breakdown

Two out of every three SKUs from Supplier 4 are failing inspection. That's not a red flag-it's a five-alarm fire. And what makes it worse? Their lead time isn't even that short (over 15 days), so we're waiting longer for products that often end up rejected anyway.

Recommendation: Put Supplier 4 on formal probation-send a clear Corrective Action Request and make it known we mean business. Meanwhile, shift half their usual orders to Supplier 1, who's been quietly reliable with the lowest fail rate (22%) and faster turnarounds. Let's reward performance, not tolerate repeated problems.

Insight 3: Widespread Inventory Deficit Across 53% of SKUs

More than half our SKUs are sitting below their active order quantities-meaning we're literally trying to sell what we don't have in hand. That's a fulfillment nightmare waiting to happen, especially during demand spikes.

Recommendation: Instead of guessing safety stock, build a simple but dynamic model in Excel or Power BI that factors in real lead times and daily sales velocity. It doesn't have to be fancy-just practical. Use that to flag understocked items weekly and push reorders before they become urgent.

Insight 4: Backlog of Uninspected Products (Pending Inspections)

Right now, 41 out of 100 SKUs are stuck in "Pending" limbo-that's nearly half our inventory, while only 23 have cleared inspection. This isn't just a bottleneck; it's tying up cash and delaying revenue.

Recommendation: Get more eyes on the floor-either hire temporary QA staff or bring in third-party inspectors to clear the pile fast. The goal isn't to cut corners, but to cut the wait. Every day a product sits unchecked is a day we're not selling it.

Insight 5: Sea Freight Offers Unmatched Shipping Cost Efficiency

Sea freight costs about ₹4.97 per unit versus ₹6.02 for air-that's a 17% saving per unit, with barely any noticeable difference in delivery time for non-urgent goods. Over thousands of units, that adds up to serious money.

Recommendation: Move all routine, high-volume, non-perishable restocks to sea freight. Save air freight exclusively for launches, emergencies, or hyper-urgent top-ups. We're not cutting corners-we're just being smarter about where we spend.

Insight 6: High Defect Rates in Haircare Line

Haircare products are clocking the highest defect rate at 2.48%, just above Skincare and noticeably above Cosmetics. It might not sound huge, but on high-volume batches, that's a lot of rework, returns, and unhappy customers.

Recommendation: Trace the problem upstream-audit both the raw materials and the blending process specifically for Haircare. Talk to the suppliers who provide the base formulations and run spot checks on recent batches. We need to catch this at the source, not after packaging.

Insight 7: Supplier 3 Lead Time Vulnerability

Supplier 3 takes over 20 days on average to deliver-and 10 of their 15 SKUs are still stuck in pending quality checks. That means we're waiting longer and still not sure if the goods will even pass.

Recommendation: Revisit their SLA with a firm hand-introduce a penalty clause for anything beyond 15 days, and if they can't commit, scale back our orders by 20% and redistribute to more dependable suppliers. We can't afford to have one vendor become our weak link.

Insight 8: Distribution Route B Shows Transport Bottlenecks

Route B via rail takes nearly 6.6 days on average and costs more, while Route C by road gets goods there in just over 3 days at a lower cost. That's a no-brainer for regional deliveries.

Recommendation: Shift regional shipments from Rail Route B to Road Route C wherever feasible-especially for time-sensitive loads. The transit time gets cut in half, and we save money too. It's not about abandoning rail entirely, but about matching the route to the reality on the ground.